

The Western Balkans Fund Supporting the Champions of Regional Cooperation

Strategic Plan 2026-2030

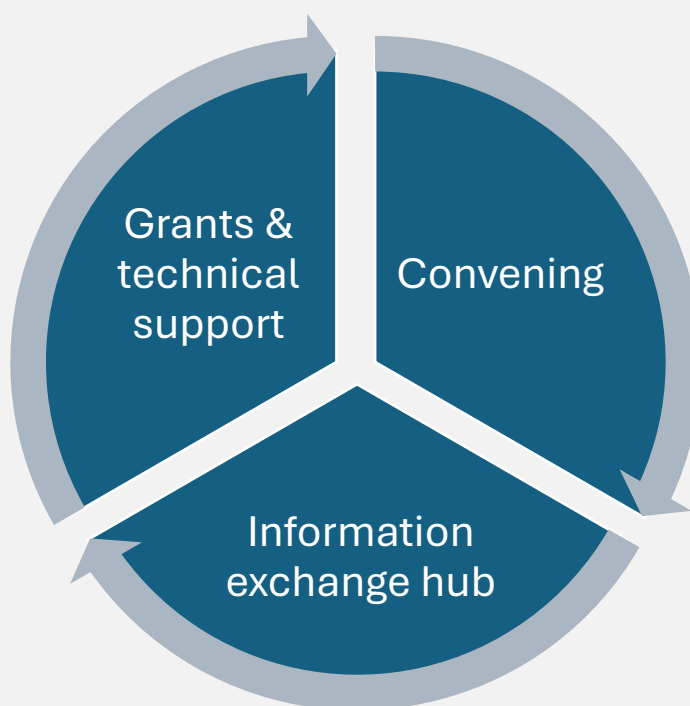


Table of Content

Introduction	4
Learning from five years of experience informs the refreshed strategy	5
An integrated approach delivers better value.....	5
Partnership is continuous Win-Win opportunity	5
Convening is a major opportunity to leverage the Fund's unique value and sustain the value of its investment in its grantees	5
Measurable impact at the project level is best achieved in the context of longer-term funding and ongoing technical relationships with the Fund	6
The champions of regional cooperation are everywhere	6
From theory to practice- the Western Balkan Fund's updated Theory of Change (TOC)	6
The role of the Contracting Parties remains as essential as ever. As contributions increase, the Fund's unique co-ownership model will be more relevant and compelling than ever	7
The plan in a nutshell: A more comprehensive, integrated, inclusive and effective way of supporting the champions of regional cooperation	8
O1: Grants and targeted technical support focused on measurable value adapted to an evolving regional context	9
O2: Convening, regular & frequent opportunities for civil society champions across the region to meet, dialogue share, advocate & learn – and those who might become champions.....	10
O3: Information exchange hub providing a home for essential information & learning about funding, partnership opportunities & networking	11
From Public Relations to Communications & Advocacy – the Fund will stand tall as a champion among champions	12
A refreshed grants package: WBF will design and deliver a more flexible way of providing grant support	13
Project and Thematic Grants.....	13
Capacity development and Technical Assistance for regional cooperation.....	13
Responsive Grants for Emerging Regional Needs	14
Scholarships and Fellowships	14
Framework Agreements/Partnership Grants	14
Standard Operating Procedures will ensure a consistent approach	14
The Fund will maintain and expand capacity building competencies through strategic partnerships.....	14
The Fund's quest for value and impact will continue in a variety of forms.....	16
Projects for a broader purpose	16
Impact measurement at a whole new level	16
WBF will continue, proudly to support "hard-to-fund" initiatives	17
Impact will be measured long after project completion.....	17
Monitoring, Evaluation and Learning will be as much about WBF as it is about its grantees and partners. The Fund will strengthen its culture of planning, learning, adapting and re-planning (Internal MEL)	18
The Fund will update necessary MEL tools	18
WBF will digitize monitoring/reporting practices	19
The Fund will work in a more targeted way with its funding partners.....	19
WBF will diversify its funding sources... ..	21
... and it will triple its income within three years	21
Organisational development: A strengthened organisational structure for a strengthened programme portfolio	22
Revised management chart: Management will be decentralised & built around the revised programme	23
Revised staff ToRs: Aligned Terms of Reference with Strategic Objectives coupled with a Management by Objectives (MbO)	23
Staff tenure & development: Systematic investment in enhanced staff capacity, coupled with succession plans for staff at all levels.....	24
Leadership Continuity	24
Professional Development	24

Revised functional and management structure	25
Managing and mitigating the risks of change.....	26
Year 1 Strategic Priorities. Phasing the Fund's investments in the refreshed strategy.....	27
Overview of 2026 Action Plan key highlights.	27

Introduction

This document outlines the Western Balkans Fund's (WBF or the "Fund") second strategic plan, which includes the **period 2026–2030**. This plan represents a refined and refreshed version of the first plan, building upon the accomplishments of the *past years* while integrating critical insights gained during the Fund's formative phase.

Over its first years, the Fund has earned recognition for its strong financial and project management practices. It has successfully ensured the fair and equitable allocation of project funding to grantees across the region, supporting initiatives spanning a diverse array of sectors. Through this experience, the WBF has deepened its understanding of its stakeholders and refined its grant portfolio to better meet their needs. Simultaneously, the Fund has enhanced its capacity to evaluate the impact of its investments, maintaining an unwavering focus on achieving a balance of quality, impact, and scale in all its project funding activities. The WBF **reaffirms its strong commitment** to work in alignment with the **objectives of the Berlin Process**. This strategy has been carefully designed to ensure that this commitment is fully reflected in its objectives.

During its first strategic period, the Fund accumulated substantial insights into what approaches prove effective and which do not. To deliver measurable value to grant applicants, funding partners, and other stakeholders, the Fund must steadfastly uphold its principles and standards while demonstrating agility and flexibility. Adapting its portfolio to a rapidly evolving regional context is imperative. This strategic plan builds upon the Fund's experiences, aiming to strengthen and enhance its programme portfolio through the integration of complementary components. In addition to programmatic improvements, the Fund has gained valuable insights into its organizational structure, particularly regarding how the Secretariat can be optimized for greater responsiveness, efficiency, and effectiveness. Accordingly, this plan addresses both programmatic and organizational dimensions, ensuring that these elements collectively sustain and advance the Fund's mission in the years ahead.

The Fund's strategic plan is both highly ambitious and critically necessary to achieve the impact of WBF envisioning the region and fulfilling its mission. The development of this plan was led by an inclusive and participatory process, involving a series of planning workshops with key members of WBF's leadership and Secretariat. This joint effort was complemented by extensive desk research and interviews with over 30 stakeholders from across the region. As the plan neared finalization, the Fund's Governing Body, along with representatives from the Ministries of Foreign Affairs of its six Contracting Parties: Albania, Bosnia and Herzegovina, Kosovo*, Montenegro, North Macedonia, and Serbia convened as the Council of Senior Officials meeting. Their invaluable guidance and strategic advice during the meeting were instrumental in shaping the plan's direction and ensuring its alignment with regional priorities.

While the plan embodies soaring ambition, it is grounded in pragmatism and practicality. Recognizing the importance of sustainability and achievable progress, the WBF has designed this strategy to introduce several new elements and shifts in approach without aiming for unrealistic outcomes in its first year. To this end, a carefully phased programme of investment will be **launched in 2026 and 2027**, ensuring a measured and sustainable trajectory toward success. During the first year or more of implementation, the focus will be on consolidating and strengthening the existing programme portfolio while progressively initiating a process of portfolio diversification and development, as detailed in this document. Furthermore, a significant investment in resource development will be undertaken, with the full engagement and support of the Secretariat staff.

This strategic plan encompasses both programmatic and organizational development strategies essential for achieving its objectives. To ensure effective implementation, the WBF will introduce new programmatic elements and adjust its organizational structure through a phased approach over the planning period. As a **critical first step**, the Fund will develop a detailed short-term **Action Plan for 2026**, guided by the priorities outlined in this strategy.

*This designation is without prejudice to positions on status, and is in line with UNSCR 1244 and the ICJ Opinion on the Kosovo declaration of independence

This Action Plan will include a comprehensive phasing schedule for the key investments required to facilitate the successful execution of the broader strategic plan. Several foundational elements of the Action Plan are highlighted in the concluding section of this document.

An ambitious and achievable vision of the future

The Western Balkans Fund envisions a region at peace with itself; prosperously integrated into its European home. It envisages a region where exchange and fruitful, mutually beneficial relations of cooperation between people at all levels and from all walks of life are the norm rather than the exception.

The Fund's commitment is exemplified by its programme mission:

The Western Balkans Fund promotes the development of ever closer cooperation and the strengthening of ties between the Western Balkans Contracting Parties, the integration of the Contracting Parties into the European Union and a common presentation of the Fund's Contracting Parties both within and beyond the region. It supports the champions of regional cooperation through a diversified programme of grants, support for access to ongoing dialogue about regional cooperation, and the provision of technical assistance and capacity development to civil society partners.

Learning from five years of experience informs the refreshed strategy

The insights gained during the Fund's first five years Strategic Development Plan have significantly shaped the development of its refreshed strategy, offering valuable lessons on how to effectively support champions of regional cooperation. These lessons include:

An integrated approach delivers better value

While grants alone provide varying levels of benefit to grantees and their beneficiaries, their impact is significantly enhanced when paired with tailored packages of specialized technical support, mentoring and coaching. This integrated approach not only strengthens the outcomes of funded projects but also reinforces the resilience and sustainability of grantee organizations.

Partnership is continuous Win-Win opportunity

Many grantees need much more technical support than the Fund is equipped or mandated to provide. But available partnerships with like-minded and complementary agencies across the region would allow the Fund to ensure a more integrated and holistic package of needed support, strengthen grantees organisationally and enhance visibility for both grantees and the Fund itself. Many grantees' organisational weaknesses could be better addressed if WBF training and support packages could be delivered in concert and alignment with specialist capacity development partners.

Convening is a major opportunity to leverage the Fund's unique value and sustain the value of its investment in its grantees

Convening and co-hosting key stakeholders at special events provides a unique platform to celebrate success, showcase the Fund's special regional identity, promote learning between grantees and ex-grantees and build public

awareness about the benefits of regional cooperation. There are tangible and measurable benefits in bringing grantees together across the region to celebrate their achievements, learn from each other's experience, strengthen networks and reinforce connections between grantees beyond the project lifecycle.

Measurable impact at the project level is best achieved in the context of longer-term funding and ongoing technical relationships with the Fund

Impact opportunities increase during a grant relationship that has been designed for an extended period, and where impact is an integral part of both project design and ongoing technical support and coaching.

The champions of regional cooperation are everywhere

Small NGOs, less well-established community-based organisations and rurally based CSOs in remote areas of the Western Balkans can be as committed to, enthused by and engaged in regional cooperation initiatives as large, organisationally sophisticated groups based in large cities, and with relatively easy access to funding and other types of support. Smaller, less visible grass roots initiatives and groups remain neglected by most funding partners. The Western Balkans Fund will not abandon its commitment to these "hard-to-fund" organisations.

From theory to practice- the Western Balkan Fund's updated Theory of Change (TOC)

The Western Balkans Fund's Theory of Change asserts that through investing in direct support to regional initiatives and regional cooperation champions it can improve neighbourly relations that transcend geographical and cultural boundaries. The refreshed strategy strongly reflects the overall Theory of Change but includes a rebalancing of priority investments in the change process, thus adding significance and value to the Fund's role as a granting organisation, and positioning grant making in a stronger overall strategic and programming framework. The inclusion of a reinforced convening role, together with heightened focus on making information more accessible to the Fund's many stakeholders both respect the Theory of Change and further validates it.

Further, in rendering such initiatives highly visible to the public and its elected representatives across the region, the very notion of regional cooperation will become normalized and understood as an essential component of accession to the European Union and a more stable and prosperous future for all. The fact that a proportion of the WBF's budget is provided by the Contracting Parties themselves demonstrates their tangible commitment to regional cooperation at the highest political level.

The Fund's Theory of Change is rooted in the belief that by providing a flexible and context-specific package of targeted and innovative grants and technical support to grassroots initiatives, local authorities, think tanks, civil society organisations, economic development initiatives and academia, it can creatively address regional cooperation challenges through culture, education, environmental protection and sustainable development. The Fund further contends that civil society champions from a wide variety of stakeholder groups can scale up their successes if they have regular access to each other and frequent opportunities to facilitated dialogue, experience-sharing and learning about the challenges and opportunities of regional cooperation. Even the smallest and most modest groupings and initiatives are worthy of these opportunities and form the bedrock of regional cooperation.

Through direct support to a broad variety of regional cooperation champions and stakeholders, the Fund mobilises both the capacity and the demand for closer regional cooperation and partnership. Thus, with the growing scale, momentum, visibility and acceptance of successful regional cooperation initiatives, the notion of regional cooperation will be normalised and celebrated. The Fund's Theory of Change is anchored in the conviction that by addressing the prejudices that continue to blight the region, the Fund can aid in facilitating the reconciliation process, help overcome the legacy of the past, build confidence across the region and thus strengthen social, political and cultural cohesion. This on-going investment will contribute to economic development, security, stability and citizen-driven democracy.

The role of the Contracting Parties remains as essential as ever. As contributions increase, the Fund's unique co-ownership model will be more relevant and compelling than ever

Over its first eight years, the Western Balkans Fund (WBF) has benefitted from strong co-ownership and sustained support from its six Contracting Parties: Albania, Bosnia and Herzegovina, Kosovo, Montenegro, North Macedonia, and Serbia thus ownership has supported the Fund's efforts to foster regional cooperation at a grassroots level, with each Contracting Party demonstrating steadfast commitment to its mission.

During the previous strategic planning period, the Fund observed a growing engagement from the Contracting Parties in broader regional initiatives, including the Regional Cooperation Council, the Regional Youth Cooperation Office, and the Berlin Process. These developments are encouraging signs of their deepening commitment to regional cooperation at a policy level, illustrating alignment with WBF's vision of fostering a stable and collaborative Western Balkans region. Thus, while the WBF is no longer alone in receiving Contracting Party support, it remains unique as the Parties' sole instrument of funding to practical regional initiatives at the community level, further strengthening the logic of increased financial contributions to the champions of regional cooperation. This commitment strengthens the case for increased contributions, ensuring that the WBF can continue to amplify its impact and further catalyse regional cooperation through innovative, community-driven initiatives. The WBF remains a vital instrument, bridging high-level policy aspirations with practical, on-the-ground action, and ensuring that the champions of regional cooperation have the resources they need to drive change and foster a brighter future for the Western Balkans.

The level of contributions to the Fund's budget is a determining factor in the Parties' maintaining ownership. By the end of 2024 the annual contribution of the Contracting Parties was set at 90,000 EUR, a significant and much-appreciated increase on their initial annual investment. However, in the *new planning period* this contribution must increase progressively in order to enable the Fund to achieve its strategy, grow its portfolio, and strengthen the Secretariat's systems, thus assuring the value and quality of its investment. The progressive increase is also essential to maintain the level of Contracting Party credibility as co-owners of the Fund. As the Secretariat leverages new and matching funding from bilateral and multilateral funding partners, the proportion of Contracting Party must rise proportionally. This will also demonstrate that the Contracting Parties remain committed to the initiative they launched 7 years ago. To this extent, the Contracting Party financial contributions symbolises their co-ownership of the Fund, reinforcing its unique identity and regional credibility both to the public and to the European Union.

The **Contracting Parties' financial leadership is fundamental** to maintaining the WBF's unique role as a mechanism led by governments and it is regionally focused on cooperation. Meeting the contribution targets is not just about funding it is about sustaining ownership, ensuring credibility, and preserving the WBF's status as a unifying force and symbol of regional commitment. These achievable targets reaffirm the Contracting Parties dedication to the WBF's mission, reinforcing its regional and international standing while enabling it to deliver transformative results across the Western Balkans. Therefore, the Contracting Parties shall make the necessary efforts to ensure that their annual contribution increases progressively. The WBF Secretariat will proactively assist Contracting Party representatives in achieving this objective which includes providing necessary evidence, advocacy tools, and engagement strategies to help them justify and secure increased contributions within their respective governments. Should the Contracting Parties fail to meet the progressive increases, the Fund risks a scenario where external funding from bilateral, multilateral, or private sources outweighs

contributions from the founding Contracting Parties. This **imbalance** would diminish the WBF's unique **position** as an initiative led by the government and weaken its regional identity.

The plan in a nutshell: A more comprehensive, integrated, inclusive and effective way of supporting the champions of regional cooperation

The strategic plan for 2026-2030 is built on the foundations of the previous five years. The Western Balkans Fund intends to broaden and enrich the scope of its offer in the coming planning period. While the provision of funding to civil society initiatives will remain a key component of the Fund's portfolio, it will be complemented by two upgraded components that will permit the Fund to assume a more dynamic, effective and visible role as a catalyst for civil society initiatives across the region. Thus, a three-pronged approach will guide the Fund's work in the coming planning period.



O1: Grants and targeted technical support focused on measurable value adapted to an evolving regional context

While grant-making will remain a central element of the Western Balkans Fund's (WBF) portfolio, the approach to grants will evolve to be more agile, less bureaucratic, and more attuned to the dynamic and varied needs of the civil society sector in the region. Customized compliance frameworks will be designed and developed for grassroots organizations, who may not yet possess the organizational capacity to navigate the complexities of the grant management cycle. Moreover, the grant portfolio will be further diversified to accommodate a broader spectrum of grantees, thereby enhancing inclusivity and accessibility. In parallel, the Fund will significantly strengthen and expand its capacity-building initiatives. The scope of organizational development support will be tailored to address the distinct needs of grantees at different stages of their growth. Rather than solely focusing on compliance training, grant application procedures, or project cycle management (PCM) and reporting workshops, the Secretariat, in collaboration with specialized partners, will offer a more comprehensive suite of technical assistance and training.

Indicators to Outcome 1:

- % of grants awarded through new or adaptive schemes (e.g., matching, GeFund, Empowering Regional Cooperation/Strategic Grants, Grants for Grassroot Initiatives or thematic).
- % of grantees receiving targeted technical assistance aligned with identified needs.
- % of grantees reporting improved organizational capacity (pre/post-assessment scoring).
- # of strategic partnerships contributing technical support or knowledge transfer.
- Grantee satisfaction score with grant and support package (based on annual survey/interviews).
- % of supported projects addressing new/emerging regional challenges (e.g., disinformation, women empowerment, green transition, migration).
- # of regional or underrepresented CSOs supported through tailored modalities.

This will include targeted, context-specific support designed to foster sustainable development and enhance the overall effectiveness of grantee organizations, such as:

- ✓ **Organisational governance**
- ✓ **Leadership and management**
- ✓ **Project feasibility and design**
- ✓ **Grant applications**
- ✓ **Project cycle management**
- ✓ **Strategic planning**
- ✓ **Action planning**
- ✓ **Advocacy and campaigning**
- ✓ **Risk management**
- ✓ **Fundraising, communications and resource development**
- ✓ **Staff performance monitoring and management**

This support will be tailored based on thorough programmatic and organizational assessments of grantees, necessitating closer engagement in the field and a significant investment in developing strategic partnerships. In this way, the WBF will transition from being primarily a *project-driven, grant-distributing* entity to a more *holistic and integrated support system for regional cooperation champions*.

While grant-making will continue to be a central pillar of the Fund's approach, it will now be complemented by broader, more comprehensive efforts to foster long-term impact and sustainability within the civil society sector. The Fund does not aim to deliver all capacity development content directly

but seeks to collaborate with a select group of strategically aligned partners who offer complementary expertise. This approach creates a win-win situation for all involved: Grantees will become stronger and more resilient, WBF will maximize the value of its investments, partners will benefit from their association with the Fund, and WBF will enhance its visibility as the foremost supporter of regional cooperation champions. Through this collaborative model, the Fund amplifies its impact while fostering a sustainable network of support within the region.

Output 1.1: By December 2026, the Fund will have identified and secured strategic partnerships with dedicated, complementary skills, thus ensuring that grantees are provided with a full range of required technical support and thus supporting their resilience.

Indicators to Output 1.1:

- # Number of strategic partnerships formalized.
- Partnership framework or coordination mechanism in place (Yes/No).
- % of grantees accessing support provided by partners.
- Grantee feedback on partner-provided support (quality, usefulness).

Output 1.2: By December 2029, the Fund's grant portfolio will offer a wider range of grants to a wider range of grantees.

Indicators to Output 1.2:

- # of new grant schemes introduced (e.g., micro-grants, core support, thematic funds).
- % increase in grant applications from underrepresented groups/regions.
- Diversity index of grantees (based on type, size, geographic spread).
- % of total portfolio allocated to grassroots or first-time applicants.
- # of first-time grantees funded annually.

Output 1.3: By December 2029, the Fund will be providing a technical assistance package to grantees, based on complete organisational development needs assessments.²

Indicators to Output 1.3:

- % of grantees with completed organizational needs assessments.
- # of tailored technical assistance packages delivered.
- % of grantees reporting increased technical or institutional capacity post-support.
- Grantee satisfaction with technical assistance (relevance, quality, timing).
- % of support packages adapted to reflect evolving regional or sectoral challenges.

O2: Convening, regular & frequent opportunities for civil society champions across the region to meet, dialogue share, advocate & learn – and those who might become champions

Building on its experience of supporting regional cooperation and regional dialogue events, WBF will become a recognized, visible and frequent convenor of civil society actors across the Western Balkans. Together with its selected partners, the Fund will host events preferably in all the Contracting Parties, in order to focus on critical issues affecting regional cooperation, dialogue and reconciliation. These themed and WBF-facilitated events will involve relevant stakeholders from the region, European Union and the world. Funding partners will enjoy an opportunity to dig deep into regional issues that inform policy and meet with practitioners who do the real work of civil society mobilization and support.

Indicators to Outcome 2:

- # Number of regional and thematic convening events held annually

- # Number of individuals participating in convening events, disaggregated by gender, geography, and organization type
- % of participants who report improved understanding of regional cooperation and shared challenges (post-event surveys)
- % of participants who report increased opportunities for cooperation or advocacy because of convening (post-event surveys)
- # Number of first-time participants or emerging CSO leaders engaged through convening activities
- % of convening activities that include follow-up engagement or learning components

Instead of simply listening passively to inspiring speeches about cooperation, participants in WBF convening events will find themselves invited to participate in a genuinely interactive manner and to co-own the process, sharing their views and exchanging their ideas in skilfully facilitated convening events. WBF events across the region will include learning workshops, where a critical regional cooperation issue is explored, and participants are invited to develop their awareness and/or their skills as civil society practitioners.

Output 2.1: By December 2028, the Fund will be recognized and acknowledged by a wide range of relevant stakeholders that include NGOs, CSOs, academic institutions and other partners who want to learn about the benefits and challenges of regional cooperation.

Indicators to Output 2.1:

- Survey data on familiarity of stakeholders with WBF's work
- % of surveyed stakeholders who identify WBF as a primary source for regional cooperation knowledge and engagement
- # Number of CSOs, NGOs, academic institutions, and regional partners citing WBF as a reference point in studies, reports, or events
- # Number of unsolicited requests for WBF participation in regional forums, conferences, or expert panels
- # Number of mentions, shares, endorsements, article reach, etc.
- # Number of formal partnerships with institutions and actors seeking WBF's knowledge or tools

Output 2.2: By December 2028, the Fund will have established and staffed a Convening, Communications & Advocacy section.

Indicators to Output 2.2:

- # Number of full-time staff hired and assigned to the CCA section with clear job description framework
- Existence and implementation of an annual Convening, Communications & Advocacy work plan (Yes/No)
- # Number of convening and advocacy initiatives or campaigns led by the CCA section per year

O3: Information exchange hub providing a home for essential information & learning about funding, partnership opportunities & networking

The WBF Knowledge Exchange Platform (currently Partnership Platform) will initially serve as accessible resource for civil society organizations, NGOs, academic institutions, and other stakeholders interested in creating partnerships for WBF grants. The current Partnership Platform will progressively expand to facilitate grassroot organizations and CSOs or NGOs with technical support for their development. It will become a vital hub for all users to advancing the role of civil society in fostering regional cooperation across the Western Balkans. Additionally, the platform will feature a curated space for civil society champions to contribute and share valuable insights, such as blogs, suggestions, articles, and links. It

will also provide access to external portals of organizations offering support to civil society, ensuring that users can easily find relevant resources and connect with wider networks that can strengthen their work and impact. Through this platform, WBF aims to build a vibrant, collaborative community focused on empowering civil society in the region.

Indicators to Outcome 3:

- # Number of registered users
- # Number of partnerships created
- User satisfaction rate with the platform as a tool for partnerships, learning and exchange
- # Number of external organizations linking to or referencing the platform (e.g., in newsletters, events, calls for proposals)

Output 3.1: By December 2026, The Fund will have leveraged events supported by its Convening, Communications & Advocacy activities to roll out its Partnership Platform.

Indicators to Output 3.1:

- Partnership Platform launched and publicly accessible by Q1 2026 (Y/N)
- # Number of events or activities where the Platform is presented/promoted (including convening and advocacy events)
- # Number of resources uploaded to the platform (e.g., funding calls, guidelines, partner profiles) by end-2026.

Output 3.2: By December 2028, the Fund will ensure that the Partnership Platform is actively maintained, regularly updated, and integrated into the Fund's ongoing support services, ensuring sustained knowledge sharing and accessibility.

Indicators to Output 3.2:

- % of returning users (year-on-year).
- % of grantees use the platform to access tools or connect with others.
- # Number of publications and learning resources
- % of stakeholders rating WBF as "go to" source

From Public Relations to Communications & Advocacy – the Fund will stand tall as a champion among champions

The Fund will continue its basic "soft" public relations activities, but with a more strategic and evolved focus under the new designation: **Communications and Advocacy**. (**Output 2.2:** *By December 2028, the Fund will have established and staffed a Convening, Communications & Advocacy section*).

This initiative will be led by a dedicated, specially qualified staff member, reflecting the Fund's commitment to enhancing its promotion and communications strategy. Throughout the planning period, the traditional approach to soft PR will gradually give way to a stronger and more comprehensive communications and advocacy strategy. This strategy will prioritize the support of grantees and partners in strengthening their own communications, visibility, and advocacy efforts.

As part of this updated focus, advocacy capacity development will become a customized component of the Secretariat's support offering to select grantees. A newly appointed Convening and Communications Lead will work closely with the Grants section, ensuring that both communication and advocacy initiatives align with the broader strategic objectives of the Fund, thereby maximizing the impact of its investments and reinforcing the visibility of regional cooperation initiatives.

WBF's communications materials will place a strong emphasis on showcasing the work of its grantees. Publicity events will prioritize grantees, highlighting their impactful initiatives within their specific contexts, and bringing their stories to the forefront. Starting in January 2027, grant award ceremonies will be integrated into larger convening events. This approach will result in significant savings and allow the Fund to allocate more time and resources towards strategic convening activities. Despite this integration, both WBF and its grantees will continue to host showcasing opportunities during regional convening events, ensuring that celebration and recognition are coupled with learning and advocacy opportunities across the region. This strategy will optimize the use of limited funds while amplifying WBF's communications impact. Additionally, as part of its strengthened communications and advocacy approach, the Fund will develop and implement a comprehensive communication plan including media tools and based on RACI methodology for the launch and execution of the refreshed strategy, will be included in its 2026 Action Plan.³

A refreshed grants package: WBF will design and deliver a more flexible way of providing grant support

The WBF will build upon the successful experience and positive outcomes of the previous planning period, during which the grant portfolio diversified and expanded significantly also was complemented by tailored mentorship for Civil Society Organizations (CSOs). (**Output 1.2: By December 2029, the Fund's grant portfolio will offer a wider range of grants to a wider range of grantees**).

This approach not only allowed the WBF to engage a diverse range of CSOs and initiatives across the Western Balkans but also improved the effectiveness and sustainability of funded projects. Through incorporation of cross-border cooperation into each grant category, all WBF funding instruments continue to be prioritizing multi-contracting party cooperation as a core principle. The refreshed grants package, fully aligned with the WBF Theory of Change, aims to broaden inclusion across sectors and empower stakeholders to cooperate, promote, and normalize regional cooperation, thereby contributing to long-term peace, stability, and EU integration. The following granting instruments, which include updated variants of current WBF funding mechanisms, will aim to maintain the relevance and impact of the WBF's support while embracing greater flexibility in operations and grant-making.

Project and Thematic Grants

To effectively support initiatives **within the WBF's priority areas**, projects are encouraged to foster regional partnerships and address common challenges, bringing together multiple countries from the Western Balkans. Grant tiers (*small, medium, large*) will cater to both localized projects with regional impact and broader multilateral cooperations. This tiered approach allows for flexibility in addressing diverse needs and project scopes.

Matching grants and co-financing mechanisms will be utilized to jointly support impactful regional initiatives, particularly those where co-financing is **required from regional donors**. This approach not only strengthens the sustainability of projects but also enhances the collaborative nature of regional cooperation.

Capacity development and Technical Assistance for regional cooperation

These grants are specifically designed to enhance the operational capacity of CSOs, ensuring they are well-equipped to engage in effective regional cooperation and generate sustainable impact. Recognizing the complexities inherent in multi-contracting party cooperation, the Fund will provide tailored technical assistance that focuses on preparing organizations to lead and sustain regional initiatives. This support will address the **unique challenges of multi-contracting party projects** and build the organizational resilience necessary for long-term success in regional cooperation.

Responsive Grants for Emerging Regional Needs

This grant instrument will **provide nimble and flexible funding** to address evolving regional challenges, enabling swift responses to issues that require immediate regional collaboration. These grants will be adaptable to both emerging sectoral priorities and specific circumstances, facilitating regional teamwork within tight timeframes, by offering responsive support, the Fund aims to enhance regional cooperation in addressing urgent challenges and fostering timely solutions across the Western Balkans.

Scholarships and Fellowships

These grants aim to enhance regional learning and facilitate experience-sharing among academics and civil society champions, key components of the Theory of Change (ToC) goal to scale up successes and normalize cooperation through frequent exchanges. The scholarship and fellowship offerings will include:

- ❖ **Academic and Research Scholarships:** These scholarships will support students and researchers focused on Western Balkans-related topics, promoting academic exchanges within the region and beyond to foster research on critical regional issues, these scholarships will help build a deeper understanding of the region's challenges and opportunities.
- ❖ **Fellowships for Civil Society Leaders:** These fellowships will provide leadership programs for professionals in the civil society sector, empowering them to strengthen their roles in advancing regional collaboration, to equip leaders with the skills and knowledge to drive impactful initiatives, the fellowships will contribute to the long-term development of cross-border cooperation.

Framework Agreements/Partnership Grants

The Fund **will offer long-term partnership grants** aimed at sustaining momentum, enhancing visibility, and ensuring the scalability of successful regional initiatives. These grants will directly support the WBF's Theory of Change objectives, focusing on both increasing cooperation capacity and fostering regional acceptance. Multi-year funding will be allocated to partnerships with **larger organizations or consortia** working towards long-term strategic goals, such as gender equality, EU integration, governance reforms, or regional stability. These partnerships will receive support to implement initiatives that require sustained effort, ensuring lasting impact across the region.

Standard Operating Procedures will ensure a consistent approach

To ensure consistency and clarity in its operations, the WBF will develop a comprehensive Standard Operating Procedures (SOP) manual during the planning period. This manual will define all grant-making mechanisms and internal processes, providing clear guidelines for grant recipients and ensuring alignment with WBF's strategic goals. Additionally, the SOP will outline partnership protocols and parameters, ensuring that collaborations are managed effectively and transparently.

Indicator:

- SOP in place (Yes/No)
- Overall quality of the SOP rated by external evaluators

The Fund will maintain and expand capacity building competencies through strategic partnerships

During the planning period, the WBF will continue to build on its previous successful partnerships, particularly with the International Visegrad Fund, and expand its strategic approach to capacity building. This will be achieved by fostering a more systematic and holistic approach to realizing the Fund's mission of supporting regional cooperation and sustainable development across the Western Balkans. The Fund will continue nurturing the partnerships with a variety of organizations that can provide complementary

skills, expertise, and services. These partnerships will not be limited to funding, but will also encompass areas such as training, research, organizational development, and technical support.

Specifically, the WBF will collaborate with:

- ⇒ **Organizations specialized in trainings:** Partnering with organizations that specialize in capacity building will enable the Fund to offer a wider range of training programs and professional development opportunities. These training initiatives will focus on strengthening the operational capacity of civil society organizations (CSOs) and other regional actors, enabling them to navigate complex challenges and scale their impact across borders. The training will cover key areas such as *project management, strategic planning, financial sustainability, governance, advocacy, and regional cooperation*.
- ⇒ **Organizations specialized in leadership and organizational development:** As regional cooperation champions grow and evolve; they will require support in terms of organizational development. The Fund will engage organizations who can provide tailored services to enhance the leadership and organizational capacity of CSOs. These services will focus on areas such as *improving internal management systems, enhancing human resources capabilities, streamlining financial operations, and building stronger leadership teams*. By partnering with specialists in these areas, the Fund will help ensure that its grantees are equipped to manage both growth and complexity as they work towards regional cooperation goals.
- ⇒ **Research organizations/ Academia and Think Tanks:** The Fund recognizes the importance of evidence-based decision-making and the role of research in advancing regional cooperation. By partnering with research organizations and think tanks, WBF will enable its grantees to *access cutting-edge research, policy analysis, and insights into best practices*. This partnership will also foster an environment where knowledge and data are actively shared, empowering CSOs to design informed strategies and initiatives that respond to emerging regional challenges.
- ⇒ **Organizations offering tailored support:** To further strengthen the impact of its capacity building efforts, WBF will engage with a variety of specialized organizations that offer services *such as legal support, media advocacy, reconciliation and conflict resolution*. These organizations will be crucial in addressing specific needs of grantees and ensuring that they are prepared to engage in regional cooperation effectively. For example, legal experts could provide *advice on international law and regulatory frameworks*, while *media advocacy* organizations could help grantees improve their visibility and communication efforts at the regional level.

The **WBF aims to create** a comprehensive and integrated **support system for its grantees** by strategically partnering with these organizations. This system will not only provide technical assistance but also foster a culture of continuous learning and growth, enhancing the capacity of regional cooperation champions to address common challenges, promote sustainable development, and advance peace and stability in the Western Balkans. These partnerships will also help to diversify the Fund's own capacity to deliver on its mission, also by expanding its network of partners, the Fund will be able to leverage a broad range of expertise, ensuring that it remains adaptable and responsive to the changing needs of civil society organizations and regional actors. Furthermore, these partnerships will contribute to the WBF's long-term sustainability by creating a shared value ecosystem, where both the Fund and its partners contribute to building stronger, more resilient civil society institutions across the Western Balkans.

Indicator:

- #Number of partnerships created by 2028
- #Number of capacity development events held
- Satisfactory rate on the quality of the capacity development events
- Level of learning declared by participants

Overall, the Fund's **approach to capacity building through strategic partnerships** will be a cornerstone of its work, helping to ensure that its initiatives are impactful, sustainable, and aligned with the broader goals of regional cooperation and integration.

The Fund's quest for value and impact will continue in a variety of forms

With the adoption of the refreshed strategy, the role of Monitoring, Evaluation, and Learning (MEL) has gained considerable prominence, warranting the establishment of a dedicated and professional MEL Unit. This unit will collaborate closely with colleagues within the Secretariat and external stakeholders to ensure the effective implementation of MEL frameworks that capture the full scope of the Fund's impact.

Outcome 3: Monitoring, evaluation and learning (MEL) system institutionalized and used for strategic decision-making.

Indicator to Outcome 3:

- Overall quality of project reporting increased due to successful monitoring visits and delivered trainings.
- MEL tools updated and aligned with new approaches.
- MEL tools actively used (Yes/No)
- Frequency of MEL informed decisions (e.g. programing, funding).
- Number of success stories based on MEL data published annually.

Projects for a broader purpose

The Fund views projects not merely as isolated endeavours, but as **integral components** of a broader regional agenda. Each project selected for WBF's financial and technical support will be required to clearly articulate its contribution to fostering regional cooperation. The emphasis will be on projects that have measurable and sustainable outcomes, aligning with the Fund's long-term strategic goals of advancing peace, stability, and EU integration across the region.

Impact measurement at a whole new level

Illustrative example: In the upcoming planning period, a cohort of grantees will implement a range of *short-term, medium-term, and long-term initiatives*, all receiving financial and technical support from the Fund. While these projects will generate outputs, the direct impact of each initiative may be less immediately apparent. To measure this transformation, WBF will employ a combination of **qualitative** and **quantitative** methods. These may include *pre- and post-event surveys, interviews, and feedback sessions to assess shifts in attitudes, self-confidence, and advocacy skills*. The Fund will also identify indicators for these individuals (as MOVE beneficiaries) to track their engagement in regional cooperation activities, initiating new dialogues, or driving regional initiatives. Additionally, the longer-term impact of this increased advocacy capacity will be measured by observing whether these individuals contribute to shaping policy changes or expanding their networks for regional cooperation. Through this comprehensive approach, **WBF aims to capture** not only the immediate effects of the support but also the enduring changes in the confidence and capacity of grantees to advocate for systemic change in the region. This will provide a clear understanding of how its investments are helping to foster a more engaged, capable, and vocal civil society. Indeed, the Fund intends to find out and to share its findings and recommendations for further investment with all its key stakeholders and funding partners.

Thus, the concept of "*impact*" and the broader scope of MEL will take on a significantly more prominent and nuanced role for the WBF in the upcoming planning period. MEL will no longer be confined to traditional measurement approaches but will evolve to encompass a more sophisticated and multidimensional framework, reflecting the complex nature of the Fund's support. The MEL Unit

combined with external expertise support in evaluation will be tasked with not only tracking the outcomes and outputs of projects but also assessing long-term impact, including shifts in organizational resilience, advocacy capacity, and regional cooperation. This expanded role will involve active participation in grant making, technical assistance and communication, where MEL will be integrated into the learning process, enabling real-time feedback and the refinement of strategies.⁴ These tools will enable the MEL Unit to capture a holistic picture of the Fund's impact, ensuring that all aspects of its investments be it through project support, organizational development, or capacity development are thoroughly assessed for their contribution to regional cooperation and long-term peacebuilding. In this way, MEL will become a dynamic and essential component of WBF's strategy, providing deeper insights into the effectiveness of its interventions and ensuring that lessons learned are systematically applied to future initiatives.

WBF will continue, proudly to support "hard-to-fund" initiatives

WBF remains committed to supporting bottom-up approach to enhance regional cooperation through "hard-to-fund" initiatives, proudly continuing its focus on small, newly established or grassroots organizations that may not yet possess the organizational capacity typically expected for project design and reporting. Despite these challenges, the Fund recognizes the immense value of these initiatives, viewing them as the work of true champions of regional cooperation. While the outcomes of such projects may be harder to measure, or may appear to deliver only short-term results, the Fund believes that these *small-scale efforts* often serve as the foundation for larger, more impactful organizations. Civil society and regional cooperation champions exist in every corner of society, and the Fund remains dedicated to providing financial and technical support to these groups, by doing so, the Fund helps nurture the growth and sustainability of these organizations, empowering them to become more effective agents of change in their communities and beyond. In line with this commitment, WBF will allocate a portion of its resources to continue supporting these often-underfunded projects, ensuring that even the most grassroots initiatives could thrive and contribute to the broader goals of regional cooperation and peacebuilding.

Impact will be measured long after project completion

During this planning period, the WBF will align OECD standards and guidance to assess whether its initiatives are delivering meaningful and sustained impact. The distinction between outcomes, which represent short-term benefits, and impact, which reflects measurable long-term changes, will be central to this approach. To truly gauge the Fund's influence, its MEL Unit will adopt a long-term perspective, conducting external evaluations of its investments up to two years after project completion. This approach will enable the Fund to capture both planned and unexpected outcomes, with a particular focus on the enduring impact of long-term projects. Rather than seeking immediate impact in areas where such results may be difficult to achieve, the Fund will prioritize value-driven grant-making.

Through its experience, the Fund has recognized that while funding for short-term projects is valued, it often leads to limited value in terms of deeper attitudinal and behavioural change. Such transformations require more time and sustained engagement, which is why the Fund has shifted its focus towards supporting longer-term initiatives. These projects provide more opportunities for tangible impact, creating lasting change in the lives of individuals and communities. With the newly enriched program portfolio, the Fund has developed innovative approaches to measure the value of its investments, moving beyond the confines of individual projects. In addition to evaluating project funding and the immediate outcomes of these initiatives, the Fund will embrace a broader perspective on "impact." This renewed understanding will allow the Fund to assess the long-term, systemic contributions of its work to regional cooperation, capacity building, and the normalization of cross-border collaboration. By focusing on sustainable change, the Fund aims to capture the full spectrum of its influence, from the direct outcomes of projects to the wider, enduring shifts in the landscape of regional cooperation.

Output 3.1: Within the planning period, the MEL unit's mandate will be expanded to include a broader range of MEL activities

Output 3.2: Within the planning period conduct external evaluation for mid-term review and evaluation will determine to what extent the Fund its making progress on its strategy and recommended required modifications.

Indicators to Output 3.1 and Output 3.2:

- 1 MEL annual session conducted
- % of projects covered Monitoring Visit reports
- 1 external evaluation conducted minimum in two-year period
- % of evaluation recommendations implemented.
- Stakeholder satisfaction with strategic direction
- Frequency of MEL data use in decision-making.

Monitoring, Evaluation and Learning will be as much about WBF as it is about its grantees and partners. The Fund will strengthen its culture of planning, learning, adapting and re-planning (Internal MEL)

The Fund recognizes that Monitoring, Evaluation, and Learning (MEL) are not solely tools for verifying the impact and value of its portfolio. For MEL to be truly meaningful, it must be equally applicable to the Fund itself and the way it manages and adapts its programmatic work.

The WBF will strengthen MEL Unit Lead to lead a series of tasks related strictly to MEL purposes that may include workshops and learning events to familiarize colleagues with the new indicators and provide guidance on how they will be applied. To ensure coordination and integration, the MEL Unit Lead will be systematically included in coordination meetings between the grant management and Convening/Communication teams. Additionally, regular meetings will be held between the Unit Lead, program coordinators and the MEL Officers to ensure that MEL findings are effectively incorporated into programmatic decisions and adjustments. This framework will collect and organize all deliverables and emerging learning from projects and initiatives, ensuring that insights are systematically shared both within the organization and with external stakeholders. The strengthening of this Unit will enable the Fund to promote a culture of knowledge exchange, which will inform decision-making processes and help shape the direction and content of the evolving program portfolio. This will enhance the Fund's ability to adapt, learn, and continuously improve its support for regional cooperation and civil society initiatives

The Fund will update necessary MEL tools

The Fund will update accordingly any additional MEL tools to enhance its ability to assess the true impact of its initiatives. MEL's primary objective is to rigorously assess what has been achieved and the real, measurable differences made by the Fund's investments. At its core, MEL serves as a transparent and honest process that highlights both successes and challenges. It provides stakeholders and particularly founders and donors with evidence that the Fund is a learning organization, open to reflection and willing to share its findings openly with partners. Moreover, fostering accountability and strengthen the credibility of the Fund's work capturing broader impact. Through implementation of more nuanced indicators, the Fund will be better equipped to evaluate long-term, systemic changes and the overall effectiveness of its support in fostering sustainable regional cooperation and peacebuilding.

Output 3.3: By December 2027, MEL will be strengthened and staffed to handle both external MEL and internal MEL tasks. By December 2029, the MEL Unit's mandate will be expanded.

Indicators to Output 3.3:

- MEL support staff recruited and trained (Y/N).
- Number of internal reflection sessions held.

- Degree of implementation of MEL-based recommendations.
- Learning framework in place (Y/N).

WBF will digitize monitoring/reporting practices

Throughout the planning period, in close coordination with the Grant Management & Technical Assistance Lead, the MEL Unit will digitize monitoring plans for each project. These plans will cover thematic, financial, and partnership components to ensure a comprehensive approach to monitoring and evaluation. In alignment with the Fund's commitment to quality assurance, the MEL Unit will enhance the frequency of *monitoring visits*, particularly for large-scale, complex, or long-term projects. The Unit may also engage finance unit representatives as necessary to ensure financial oversight. Monitoring visits for short-term projects will not be obligatory but will be determined based on the project's complexity and scope.

As part of its efforts to strengthen the monitoring and reporting framework, the MEL Unit, in collaboration with the Convening, Communications & Advocacy Unit, will focus on digitizing key elements:

- Designing thematic content and good practice compilations for dissemination through social media channels, the WBF website, and partner platforms to increase visibility and knowledge-sharing.
- Introducing the software for data collection and automation to improve the efficiency of raw data and analysis within the Fund's Online Grant Management System (OGMS). This will lead to more accurate and timely reporting.
- Creating dashboards and visual tools to facilitate better presentation of data gathered from MEL activities, making it easier for stakeholders to interpret and understand key insights.

In early 2028, which marks year three of this planning period, the Fund will commission an external evaluation of its strategy. This evaluation will offer a comprehensive assessment of the Fund's progress and alignment with its strategic goals. Preceding the external evaluation, in 2028, the Fund will conduct a mid-term strategy review⁵ to assess how well it has performed against its targets, as well as to identify areas for improvement.⁵ This review will consider both the programmatic and organizational dimensions of the Fund, ensuring that internal practices and structures are evolving in tandem with its goals. Following the external evaluation in 2028, a full context analysis and stakeholder need review will be conducted by the end of 2030, the final year of the planning period. This will provide a deeper understanding of external factors affecting the Fund's work and ensure that the next strategic cycle is built on the most current and relevant data.

The Fund will work in a more targeted way with its funding partners

The Fund will adopt the term “**Funding Partners**” and “**Funding and Technical Assistance Partners**” for those whom it has until recently referred to as “donors”. While the term “donors” remains valid and still used by many Funding Partners to describe themselves, the Fund seeks both to inculcate and demonstrate an approach to those who fund its work, and to its wider stakeholder constituency that we perceive these relationships about being much more than about money. It is clear from WBF's extensive research and funding partner mapping, that a wide range of potential funding and technical assistance partners will be present and active in the region during the planning period. Moreover, many of these potential partners share similar goals with the WBF and are aligned in terms of their values and approaches. The prospects look promising for new partnerships in the coming planning period.

Outcome 4: Diversified and sustainable funding base through strategic partnerships and internal capacities.

Indicators to Outcome 4:

- % of total annual funding from non-core donors.
- Number of funding partnerships formalized.
- % of growth in annual income over baseline.

Clearly the European Union and Swiss Development Cooperation remain vitally important funding partners for the Fund. WBF's relationship with the EU and SDC represents a great deal more than funding – it symbolizes the Fund's credibility with the EU, adds lustre to its cause and emphasises its commitment to EU accession for all the Contracting Parties. The Fund will continue to invest in burnishing its credentials and credibility with the EU and SDC during the planning period. As it moves forward with its strategy the Fund will solicit and seek to retain the support of funding partners that are in a position to provide core funding. It will also solicit funding for the Fund's organisational development. A generic or standardised approach to such a diverse donor community would hardly be appropriate. Given the Fund's intention to diversify its funding sources, the need to adopt increasingly flexible approaches to resource mobilization is essential and a demonstration of WBF's respect for those who dedicate funding to the cause of regional cooperation.

Output 4.1: By December 2026, WBF will endorse fundraising framework and train staff in resource development techniques and fundraising.

Indicators to Output 4.1:

- # Number of WBF staff trained in fundraising techniques
- Fundraising framework endorsed (Yes/No)
- % of trained staff formally assigned to fundraising tasks (as per ToR or work plan)
- # Number of funding agreements partnerships signed

When engaged through structured and transparent processes in line with the Fund's Fundraising Framework and Standard Operating Procedures, funding partners may provide not only financial contributions but also technical assistance, organizational development support, and strategic expertise. The Fund recognizes that funding partners differ in their engagement preferences: some rely primarily on concept notes, formal presentations, project proposals, and technical reporting, while others seek a more strategic and collaborative partnership, including structured dialogue at policy, strategic, or programmatic levels. In response, and without compromising its mandate, governance arrangements, or core values, the Fund will strengthen systematic relationship management with funding partners, ensuring engagement modalities remain compliant, accountable, and mutually beneficial. The Fund will tailor its fundraising approaches within approved frameworks to better address funding partners' priorities, perspectives, and due diligence requirements, while safeguarding institutional independence and operational integrity.

Thus, for funding partners that operate through formalized procedures and for whom traditional proposal, contracting, and reporting formats are a requirement, the Fund will meet these requirements with appropriate rigor and full compliance with its Standard Operating Procedures. For funding partners seeking a more hands-on or dynamic partnership with implementing partners, Fund representatives will engage in structured and transparent cooperation across the region to build the trust and confidence necessary to achieve shared objectives effectively. Prior to initiating any engagement or formal contact with a potential funding partner, the Fund shall consult the Council of Senior Officials on the proposed idea of cooperation, in line with WBF rules and procedures. Furthermore, recognizing the diverse and complementary skill sets within the WBF Secretariat, the Fund will manage funding partner relationships by assigning staff members best positioned to develop and sustain productive

partnerships, irrespective of their hierarchical position, while ensuring internal coordination and accountability.

Further, in 2026 and 2027, and as part of its overall Secretariat restructuring, the Fund will establish a Resource Development & Funding Partner Relationship Management Unit, led by a Deputy Executive Director, who will fulfil the function of Resource Development Lead.

Output 4.2: By mid-2027, the Fund will have established a Resource and Partnership Development Unit, led by a to-be-appointed Deputy Executive Director.

Indicators to Output 4.2:

- Number of funding/technical assistance partners.
- % growth in annual income from diversified sources.
- Number of joint donor-funded initiatives.

WBF will diversify its funding sources...

The WBF is committed to diversifying its funding sources to ensure the long-term sustainability and viability of the Fund. This strategy aligns with best practices in international organizations and development funds, which often rely on a mix of government, private sector, foundation, and philanthropic contributions to maintain financial stability and expand their impact. By diversifying its funding base, WBF can not only strengthen its financial foundation but also increase its opportunities for new cooperation, partnerships, and support, ultimately enhancing its ability to meet its strategic goals and broaden its reach. As the Western Balkans region continues to evolve, new funding and technical assistance opportunities are emerging. During this planning period, WBF will position itself to fully capitalize on these opportunities.

WBF's research shows that while bilateral and multilateral funding will remain central to its support, it is also crucial for the Fund to leverage corporate social responsibility (CSR) opportunities, seek individual donations, and engage with commercial sponsors, foundations, and a variety of traditional regional and international funding partners. The Fund will ensure that, even as it diversifies its funding sources, it remains true to its core values and only pursues partnerships where its values align with those of the potential funders. The growth of corporate philanthropy, commercial sponsorship, and personal giving in the region is expected to continue and expand. The Fund will proactively engage with these emerging opportunities, positioning itself as a leader in attracting private funders and sponsors who share its values and goals. By tapping into this developing trend, the Fund will strengthen its ability to achieve its mission and sustain its operations in the long term.⁶

Output 4.3: By December 2028, WBF will be funded and technically partnered by a diversified portfolio of funding and technical assistance partners.

Indicators to Output 4.3:

- # Number of new funding partners contributing to WBF direct actions
- # Number of new technical assistance partners engaged to support WBF grantees
- % of WBF's annual budget funded by donors
- # Number of joint initiatives, co-funded activities, or co-hosted with partners

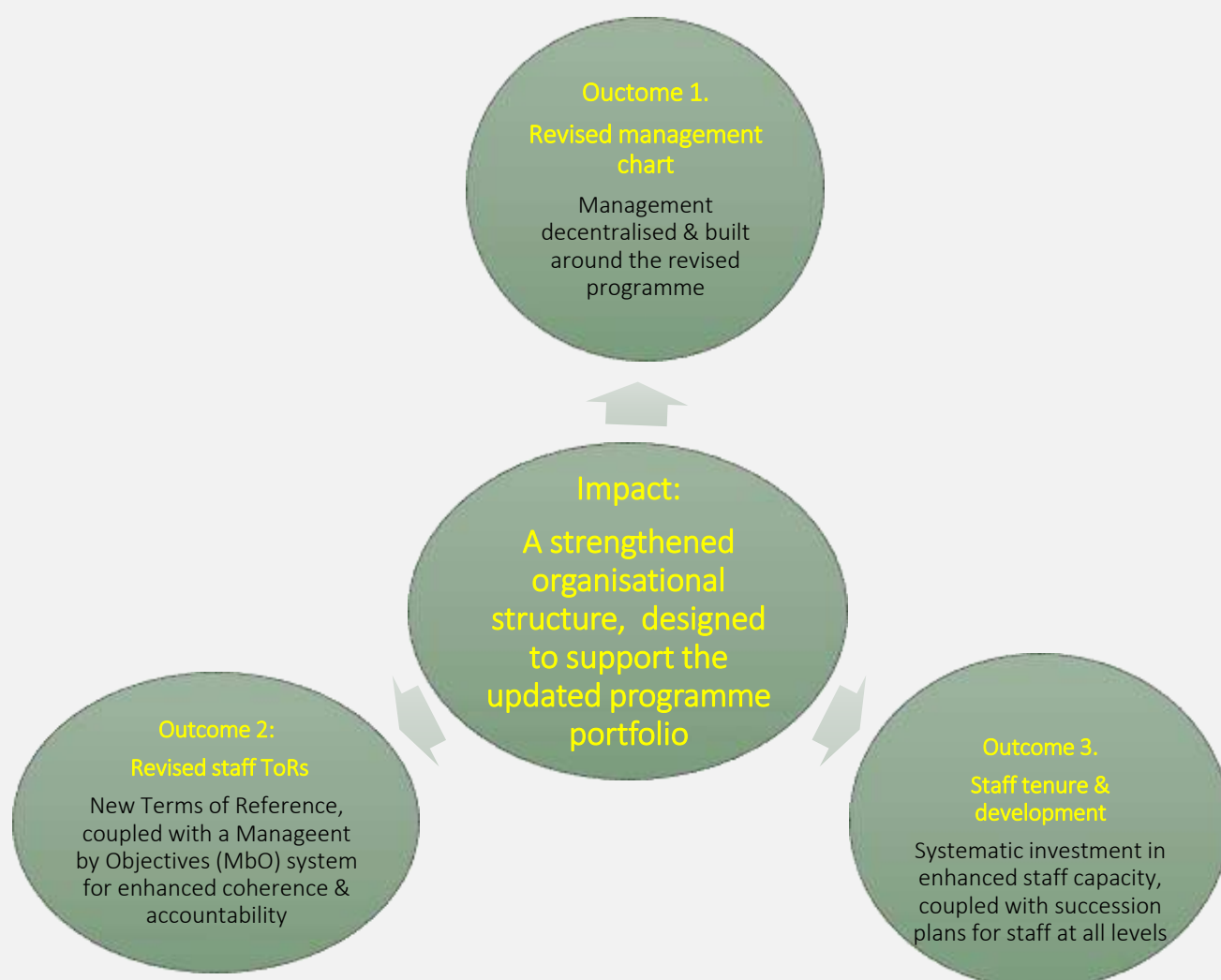
... and it will triple its income within three years

The current WBF "Fundraising Framework" will be applied as guiding document for resource development responsibilities allocated across the entire Secretariat. Funding prospects will be partially identified, using the WBF funding partner mapping tool. Commercial sponsorship and Corporate Social Responsibility (CSR) research will be conducted by the Resource Development Lead, and soliciting tasks

allocated accordingly. Meanwhile as part of its reconfiguration of staff Terms of Reference, the Fund will formally allocate specific resource development responsibility to its Executive Director and a to-be-appointed Deputy Executive Director. Funding partner prospecting, fundraising, funding partner development and management will be prioritised in the new planning period. Thus, fundraising will become a top priority activity for the leadership and staff throughout the organisation.

During the first three years of the planning period, the Fund will invest in Secretariat capacity to raise funds from a variety of sources. Representatives from the Fund will attend specialist resource development training events in order to build their fundraising skills. Such skill development will constitute a major priority for the entire planning period. The new staff Terms of Reference will specify the support role that many staff will play in fundraising for the Western Balkans Fund.

Organisational development: A strengthened organisational structure for a strengthened programme portfolio



WBF will develop a strengthened organisational structure, designed to support the updated programme portfolio

Revised management chart: Management will be decentralised & built around the revised programme

By the end of 2027, WBF will transition from its current, flat organizational structure to a more dynamic Secretariat management structure designed to enhance efficiency, growth, and program coherence. This new structure will prioritize decentralizing decision-making, empowering staff, and improving overall effectiveness across the organization.

Strategic Organisational Objective 1.1:

By December 2027 the WBF management structure will be reorganized to reflect the needs of the programme portfolio.

Key aspects of this change include:

- Decentralized decision-making where the new structure will distribute decision-making powers, allowing for quicker, more contextually relevant decisions at various levels within the Secretariat.
- Empowered staff will be given more autonomy and responsibility within their roles, fostering a culture of accountability and innovation.
- Improved effectiveness, the reorganization will ensure better alignment with WBF's strategic goals, ensuring that resources are efficiently allocated, and the Secretariat functions in a more streamlined, coordinated manner.

This reorganization will be fundamental in setting the stage for future growth and ensuring that the WBF can effectively implement its refreshed strategy while adapting to the evolving regional context.

Revised staff ToRs: Aligned Terms of Reference with Strategic Objectives coupled with a Management by Objectives (MbO)

As part of the organizational restructuring, Terms of Reference (ToRs) will be updated for all staff, transitioning from the current Job Description format to a standardized ToRs format. This shift will promote strategic thinking across the organization and enable staff to take on more responsibility, fostering a proactive and forward-thinking environment.

Strategic objective 1.2:

By December 2026, a staff development, policy will be put in place. Key skills required by Secretariat staff will be priorities for staff development investment, including fundraising and funding partner relationship management.

Key components of the revised ToRs and performance management include:

- **Standardized ToRs format:** A unified structure will ensure consistency and clarity in staff roles and responsibilities, enhancing organizational coherence and strategic accomplishment.
- **Empowerment and Responsibility:** The updated ToRs will empower staff to assume more ownership of their tasks and projects, encouraging a culture of initiative and leadership.

Strategic objective 1.3:

By December 2026 new ToRs, supported by an MbO system will reflect programme portfolio needs while ensuring improved staff accountability.

To support this shift, the Fund will introduce a **Management by Objectives (MbO) system**:

- **Annual performance evaluations:** Staff will cooperate with their line managers to establish clear performance objectives on annual basis. These objectives will be tailored to individual roles and aligned with organizational goals.
- **Consistent accountability:** The MbO system will create a straightforward and transparent way to assess staff performance, ensuring that goals are met, and progress is tracked effectively.
- **Support and development:** The evaluation process will also serve as a tool for staff development, identifying strengths and areas for improvement, and ensuring that staff receive the support they need to succeed.

The combination of aligned **ToRs** and **MbO** with strategic objectives will ensure that the WBF maximizes its staff's potential while maintaining strong coherence and internal accountability.

Staff tenure & development: Systematic investment in enhanced staff capacity, coupled with succession plans for staff at all levels

To support long-term organizational growth and ensure leadership continuity, the Western Balkans Fund (WBF) will introduce several key policies aimed at enhancing staff development and succession planning:

Leadership Continuity:

- The appointment of a **Deputy Executive Director** in 2026 will support leadership continuity and serve as part of a broader strategy to ensure a smooth transition within the leadership team.
- A **leadership tenure policy** will be developed by the Council of Senior Officials to guide the succession planning for the Executive Director role. This will ensure that transitions are handled thoughtfully, with respect for the current leadership while planning for future needs.

Professional Development:

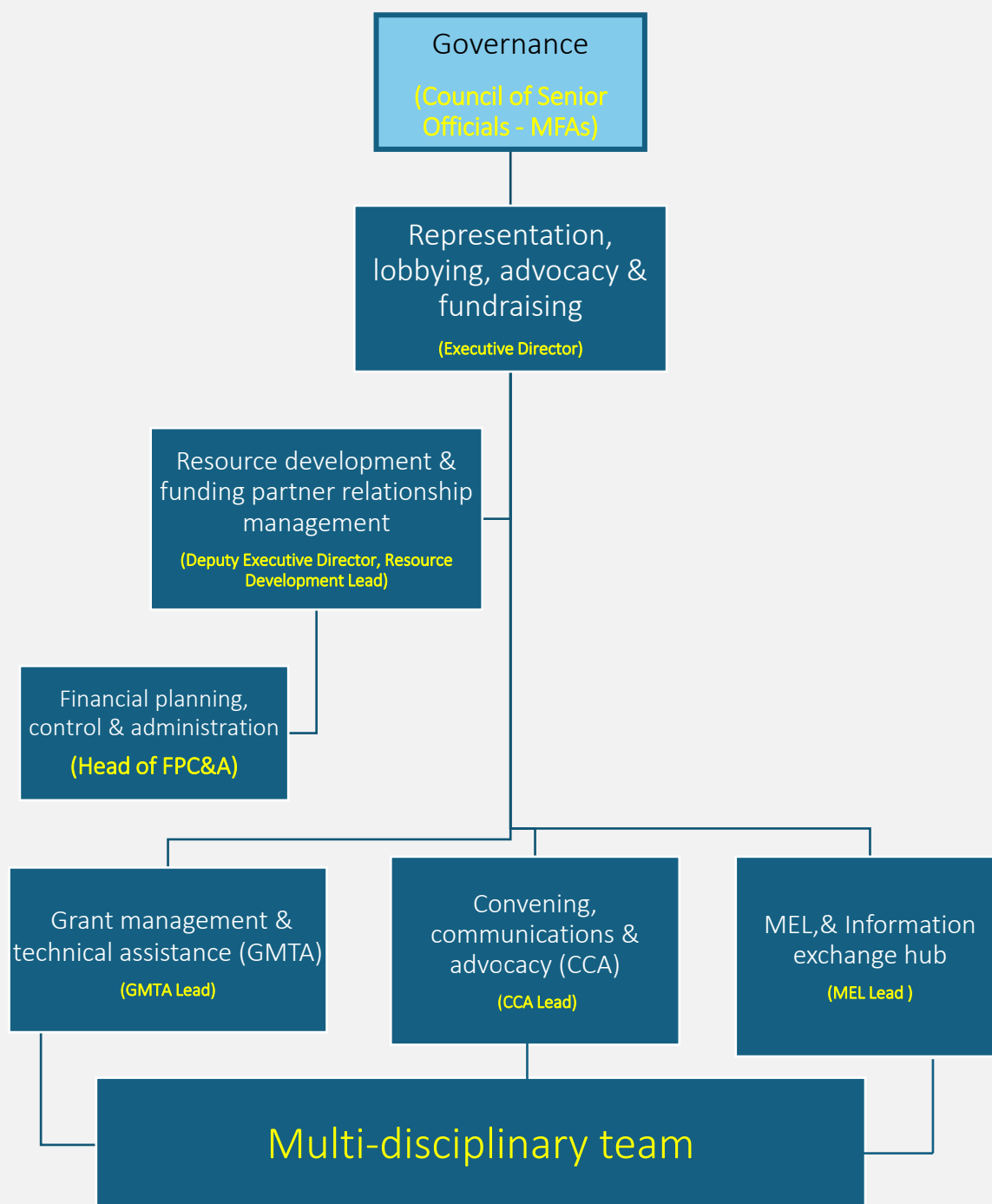
- Given that WBF is a **small team**, there may be limited opportunities for internal promotions or career advancement. To address this, the Fund will focus on **external professional development**.
- The Fund will systematically invest in training and development opportunities through **external partners** and specialized training institutions, enabling staff to enhance their skills and build capacity for future roles, both within and outside the Fund.

Through these measures, the Fund will ensure that it not only maintains a strong and skilled team but also fosters leadership continuity and an adaptable, well-prepared workforce.

Strategic objective 1.4:

By mid-2026, a Deputy Executive Director will be recruited and in post.

Revised functional and management structure



Managing and mitigating the risks of change

The refreshed Western Balkans Fund strategy comes with an awareness of risk and the need to mitigate risk whenever possible. The table below indicates how the CMFA, the CSO, the Executive Director and the Secretariat staff will work together to mitigate such risks in order to achieve smooth and effective strategy transitions at the programmatic and organisational level.

Risk type	Risk	Level L/M/H	Potential Impact	Mitigation Measures
Governance and leadership continuity	CSO unwilling or unable to agree on leadership and staffing succession strategy	High	Loss of credibility among donors	Present ongoing requests and alerts to CSO
	Leadership difficulty in hiring/promoting for new positions	Medium	Organisational and programmatic stagnation	Major fundraising effort to bilateral prospects, focusing on resources for organisational development
Partnerships	Key partners may not welcome WBF approaches	Low	Limited value of programme portfolio	Negotiate after careful selection and targeting, using staff best placed for the effort, not simply based on their seniority
Grant-making	Compliance culture overwhelms broader purpose of funding and technical support	Medium	Loss of credibility and loss of programme portfolio value	Ensure the hiring and repositioning of staff as per OD plan. Introduce performance to objectives staff performance system Conduct programme impact evaluation in 2025
	Generic compliance training alienates grantees	High	Loss of reputation	Ensure OD assessments indicate level of grantee capacity. Design and deliver more targeted compliance trainings
	Short-termism dominates grant-making	Medium	Lack of measurable value and impact diminishes WBF credibility	Introduce longer term grants early in the program portfolio development process
Staff wellbeing	Staff may be destabilised by organisational changes	Medium	Loss of morale & motivation	Hire an experienced and skilled manager as Deputy Executive Director ASAP
Funding and funding partner relationship building and management	Leadership & staff unwilling to acquire new skills and responsibilities	Medium	Gradual demise of the Fund	Make fundraising a key aspect of key staff ToRs and train staff
	Funding entitlement culture	High		Train staff
	Lack of entrepreneurial spirit hampers resource development efforts	Medium		Train staff
	Unrealistic expectations about CP funding increases	Medium		Go ahead with major fundraising diversification efforts, even if this unbalances the proportion of CP funding to the total. Assume that CP funding will diminish relative to other funding, over time.
Change management	Overly rapid or insufficiently well-managed pace of organisational and programmatic change.	Medium	Stagnation and loss of reputation	Designate change management responsibility to Deputy Executive Director
	No change within the first two years of the plan	Medium		Hire Deputy Executive Director ASAP
	No leadership in place to drive the process	High	Duplication of effort and internal inefficiency	

Year 1 Strategic Priorities. Phasing the Fund's investments in the refreshed strategy

Overview of 2026 Action Plan key highlights.